



Quarterly Investment Report

Q1 2025 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	51.5%	+0.46%	+5.43%
Credit	20.6%	-0.86%	+2.46%
Equities	11.4%	+4.96%	-0.90%
Property	7.9%	+1.22%	+3.22%
Cash	7.1%	+1.21%	+3.69%

Market Commentary

During Q1 2025, gilt yields moved by approximately +20bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.